EQUITY RESEARCH REPORT

Titan Company Limited (NSE: TITAN | BSE: 500114)

Sector: Consumer Discretionary — Gems, Jewellery & Watches

CMP (11 Sep 2026)	₹5,010
Market Capitalisation	₹4,45,713 Cr
Stock P/E (TTM)	76.4x
Book Value / Share	₹177
ROE / ROCE	37.7% / 20.5%
52-Week High / Low	₹5,187 / ₹3,303

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Independent academic equity research — not investment advice

1. Company Overview

Titan Company Limited, founded in 1984 as a joint venture between the Tata Group and the Tamil Nadu Industrial Development Corporation (TIDCO), is one of India's leading lifestyle companies. The company holds market-leading positions across Watches, Jewellery, and Eyewear through trusted brands including Tanishq, CaratLane, Titan, Fastrack, and Titan Eye+. As of FY26, the Tata Group held a 25% stake (21% via Tata Sons) while TIDCO held 28%.

Titan's core growth engine is Tanishq, its flagship jewellery brand, which has consistently outgrown the broader organised jewellery market and continues to gain share from India's largely unorganised jewellery sector (still ~60-65% of the market).

Business Segments

- Jewellery (Tanishq, CaratLane, Mia, Zoya) — the dominant revenue and profit contributor
- Watches & Wearables (Titan, Fastrack, Sonata) — a mature, steady-margin business
- Eyewear (Titan Eye+) — a smaller but expanding segment
- Emerging categories — fragrances (Skinn), Indian wear (Taneira)

2. Financial Statement Analysis (FY22–FY26, Consolidated)

All figures in ₹ Crore unless stated. Source: Company filings, compiled via Screener.in.

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	28,799	40,575	51,084	60,456	87,584
YoY Growth	33%	41%	26%	18%	45%
EBITDA	3,344	4,882	5,292	5,694	8,357
EBITDA Margin	12%	12%	10%	9%	10%
Net Profit (PAT)	2,198	3,274	3,496	3,337	5,073
Net Margin	7.6%	8.1%	6.8%	5.5%	5.8%
EPS (₹)	24.48	36.61	39.38	37.59	57.14
ROE	—	—	34%	32%	38%
ROCE	21%	25%	23%	19%	21%

Key observations:

- Revenue has compounded at ~32% over the last 5 years and ~45% in FY26 alone, aided by strong jewellery demand and store expansion — though a portion of the FY26 jump reflects gold price inflation flowing through into revenue, not just volume growth.
- EBITDA margins have compressed from ~12% (FY22-23) to ~9-10% currently, largely due to a higher mix of studded-to-plain gold jewellery sales and competitive discounting in a rising gold-price environment.
- Net margin has structurally declined from 7.6% to under 6%, driven by rising interest costs (borrowings grew from ₹7,275 Cr in FY22 to ₹30,621 Cr in FY26) as the company funds working capital and store network expansion.
- ROE remains exceptionally strong at 38%, though this is flattered by high leverage on a relatively low equity base and Titan's asset-light franchise/owned-store hybrid model.

3. Balance Sheet & Working Capital

Metric	FY22	FY23	FY24	FY25	FY26
Total Borrowings	7,275	9,367	15,528	20,777	30,621
Reserves & Surplus	9,214	11,762	9,304	11,535	15,614
Inventory Days	230	199	176	217	222
Working Capital Days	68	51	42	35	28
Free Cash Flow	(940)	950	1,024	(1,011)	4,713

Titan's jewellery business is inherently working-capital intensive (gold inventory), reflected in inventory days consistently above 175-220. Debt has risen more than 4x over five years, primarily short-term borrowing (commercial paper) to fund gold inventory — Titan carries a CARE AAA / A1+ credit rating, indicating this leverage is not currently a credit concern, though it does pressure net margins through interest expense.

4. Discounted Cash Flow (DCF) Valuation

A 5-year explicit forecast (FY27E–FY31E) plus terminal value, using a Free Cash Flow to Firm (FCFF) approach.

4.1 Key Assumptions

Assumption	Value	Rationale
Revenue growth (FY27E–FY31E)	16% → 12% (declining)	Deceleration from FY26's gold-price-inflated 45% base toward long-run sustainable rate
EBITDA margin	10.2% → 11.0%	Gradual operating leverage as store network matures
Tax rate	25%	In line with recent effective tax rate
Capex (% of revenue)	1.2%	Continued store network and CaratLane expansion
Working capital	28 days (held flat)	In line with FY26 actual; gold-heavy inventory model
Cost of Equity (Ke)	12.3%	CAPM: Rf 6.8% + Beta 0.85 × ERP 6.5%
Post-tax Cost of Debt (Kd)	5.6%	AAA-rated borrowing cost, tax-adjusted
WACC	11.9%	Equity/Debt weights based on current market cap and borrowings
Terminal growth rate (g)	5.0%	Long-run nominal GDP-linked growth

4.2 Free Cash Flow Projection (₹ Crore)

Metric	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	1,01,597	1,16,837	1,33,194	1,50,509	1,68,571
EBITDA	10,363	12,151	14,119	16,255	18,543
EBIT	9,347	10,983	12,787	14,750	16,857
NOPAT	7,010	8,237	9,590	11,062	12,643
(+) D&A	1,016	1,168	1,332	1,505	1,686
(−) Capex	(1,219)	(1,402)	(1,598)	(1,806)	(2,023)
(−) Δ Working Capital	(1,075)	(1,169)	(1,255)	(1,326)	(1,387)
FCFF	5,732	6,834	8,069	9,433	10,920

4.3 Enterprise & Equity Value

Component	₹ Crore
Terminal Value (undiscounted)	1,66,176
PV of explicit-period FCFF	28,580
PV of Terminal Value	94,715
Enterprise Value	1,23,294
Less: Net Debt (Borrowings − Investments)	(27,115)
Equity Value	96,179
Shares Outstanding (Cr)	89
DCF Value per Share	₹1,081

Important limitation: the DCF value of ₹1,081/share sits ~78% below the current market price of ₹5,010. This is a well-documented feature, not a bug, of vanilla DCF applied to consistently high-ROE compounders like Titan: a terminal growth rate of 5% cannot capture a franchise that has grown revenue at 30%+ for a decade while sustaining 35-38% ROE. The market is effectively pricing Titan on brand moat, category-expansion optionality (eyewear, fragrances, international jewellery), and multi-decade compounding potential — factors a 5-year explicit DCF window structurally understates. This gap should be read as a caution against relying on DCF alone for quality-compounder stocks, not as a literal 78% overvaluation call.

5. Relative & Street Valuation

Cross-checking the DCF against how the market and sell-side analysts currently value Titan:

Broker	Rating	Target Price (₹)	Date
Motilal Oswal	Buy	4,500	06-Nov-2025
Motilal Oswal	Buy	4,150	08-Aug-2025
JM Financial	Buy	3,900	08-Aug-2025
JM Financial	Buy	3,725	09-May-2025
Edelweiss Securities	Buy	4,115	06-Feb-2025

The most recent broker target (Motilal Oswal, ₹4,500) sits below the current market price of ₹5,010 — suggesting the stock has run ahead of even bullish sell-side estimates in recent months, likely on continued strong jewellery demand and gold price tailwinds. The consistency of 'Buy' ratings across brokers despite a 76x P/E reflects the market's willingness to pay a premium for Titan's execution track record and category leadership, similar to the dynamic the DCF gap highlights above.

6. Investment Thesis

Bull Case

- Market leadership in organised jewellery with Tanishq continuing to take share from the unorganised sector
- AAA credit rating provides funding headroom to sustain aggressive store expansion
- Diversification into eyewear, fragrances, and international jewellery (UAE, US) offers long-run optionality beyond the core India jewellery business

- Consistently high ROE (35-38%) and ROCE (19-25%) over a full decade, evidencing genuine competitive advantage, not a one-off cycle

Bear Case / Risks

- Gold price volatility directly affects both revenue (through pricing) and margins (through hedging costs and consumer demand elasticity)
- Margin compression trend (12% → 9-10% EBITDA margin) if sustained would pressure the premium valuation multiple
- Rising leverage (borrowings up 4x in 5 years) increases interest cost sensitivity in a higher-rate environment
- At 76x trailing P/E and 28x book value, the stock has very limited room for execution missteps or a broader consumer discretionary slowdown
- Regulatory risk around gold import duties, GST changes, or hallmarking norms can affect margins with little warning

7. Recommendation

HOLD / ACCUMULATE ON DIPS

Titan remains one of India's highest-quality consumer franchises, with a decade-long track record of profitable, well-capitalised growth and genuine category leadership in jewellery. However, at ₹5,010, the stock trades meaningfully above both its DCF-implied fair value and the most recent sell-side analyst targets, leaving limited margin of safety for new capital at current levels. The combination of decelerating EBITDA margins, rising leverage, and a 76x P/E multiple suggests the risk-reward is more balanced than compelling at the current price. Existing holders should stay invested given the quality of the franchise; new investors may be better served waiting for a valuation reset closer to the ₹4,100-4,500 broker target range before initiating a position.

8. Methodology Notes & Limitations

- This report uses simplified, linear assumptions for a 5-year DCF forecast; actual performance will vary with gold prices, consumer sentiment, and competitive dynamics that are difficult to model precisely.
- Net debt is approximated using reported Investments as a proxy for cash-equivalents, as a full cash-flow-statement cash balance was not separately available in the source data used.
- This is an academic project prepared for skill-building and portfolio purposes as part of an MBA Finance program. It does not constitute investment advice and should not be used as the basis for any investment decision.

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